

XBRA — Explainable Behavioral Risk Attribution

Investor: INV_OVERCONFIDENT_018

Report date: 2026-09-06

1. Executive Summary

Analysis of INV_OVERCONFIDENT_018's trading history reveals a dominant behavioural pattern of **Overconfident**. Behavioural factors explain **100%** of the portfolio's maximum drawdown of **-18.0%**. This report provides a detailed breakdown of detected biases, market context, and actionable recommendations.

2. Investor Risk Profile

Metric	Value
Dominant Bias	Overconfident
Strategy Archetype	Swing Trader
Max Drawdown	-18.0%
Sharpe Ratio	-0.49
Sortino Ratio	-0.71
Peer Risk Percentile	100th
Behavioural Risk %	100%

3. Charts

4. Behavioral Bias Deep-Dives

Loss Aversion

Pattern: The holding-time asymmetry metric shows that investors tend to hold onto losing trades for longer periods than winning trades, indicating a bias towards avoiding losses rather than celebrating gains.

Evidence: The trades that demonstrate this pattern are CVX (entry 2020-01-02 → exit 2020-01-09), DIS (entry 2023-08-11 → exit 2023-08-18), WMT (entry 2023-07-03 → exit 2023-07-10), MA (entry 2023-05-08 → exit 2023-05-15), and DIS (entry 2023-04-28 → exit 2023-05-05).

Consequence: This bias results in a portfolio drawdown of 29% due to the prolonged holding of losing trades, which outweighs the gains from winning trades.

Overconfidence

Pattern: You traded 3.4 times per month on average, which is 3.2× more than typical investors (1.1/month).

Evidence: Your most frequent trades: NVDA | entry 2022-08-26 → exit 2022-08-31 | 5d | P&L; -2141 NVDA | entry 2022-11-11 → exit 2022-11-18 | 7d | P&L; -1595 NVDA | entry 2022-11-02 → exit 2022-11-08 | 6d | P&L; +1773 NVDA | entry 2021-10-21 → exit 2021-10-26 | 5d | P&L; +2281 BAC | entry 2020-09-14 → exit 2020-09-21 | 7d | P&L; -1221

Consequence: Excessive trading activity accounts for approximately 71% of your portfolio drawdown through transaction costs and mistimed entries.

5. Trade Evidence

Trade ID	Symbol	Entry	Exit	Days	P&L
INV_OVERCONF	TSLA	2023-01-18	2023-01-23	5	3293
INV_OVERCONF	META	2023-04-21	2023-04-27	6	3155
INV_OVERCONF	V	2020-03-02	2020-03-09	7	-3014
INV_OVERCONF	BABA	2022-10-21	2022-10-24	3	-2991
INV_OVERCONF	AMD	2024-07-11	2024-07-17	6	-2701
INV_OVERCONF	NVDA	2023-07-11	2023-07-17	6	2660
INV_OVERCONF	TSLA	2021-11-05	2021-11-09	4	-2648
INV_OVERCONF	TSLA	2021-03-01	2021-03-03	2	-2544
INV_OVERCONF	GS	2020-06-05	2020-06-11	6	-2470
INV_OVERCONF	BABA	2022-06-10	2022-06-13	3	-2386

6. Recommendations

Based on the investor's behavioral analysis, here are 4 actionable recommendations for a retail investor:

1. Take a step back and acknowledge your emotions before making investment decisions, and try to separate your feelings from your investment choices.
2. Set a 30-day waiting period before buying or selling a stock to help you avoid making impulsive decisions based on short-term market fluctuations.
3. Focus on understanding the fundamentals of a company, such as its financial health and competitive advantage, rather than relying on gut feelings or market trends.
4. Regularly review and adjust your investment portfolio with a swing-trading strategy, aiming to make small, calculated profits from market fluctuations rather than trying to time the market perfectly.